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CONSUMER PERCEPTION TOWARDS DIGITAL PAYMENT MODE IN BANKING SECTOR

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Abstract

Social media has transformed the advertising industry, impacting customer behaviour in new ways. This study investigates the effects of Social Interaction in important consumer actions. brand recognition, trust, loyalty, and purchasing intent. The study investigates how different demographic factors influence consumer engagement with social media marketing using quantitative analysis, including correlation and Chi-Square testing. The findings show that personalized and interactive advertising methods improve brand-consumer interactions, promoting more trust and loyalty. Furthermore, social media Consumer purchasing decisions are greatly affected by the presence of advertising.by improving brand visibility and engagement. The study offers significant data for firms looking to optimize their digital marketing strategy and increase the effectiveness of their online advertising. Digital payment mode is an electronic payment system that enables customers of a bank or other financial institution to conduct a range of financial transactions through the financial institution's website. The payment system will typically be connected to or be part of the core banking system operated by a bank and is in contrast to branch banking which was the traditional way customers accessed banking services. The main objective is to study level of usage of various Digital payment system facilities and to analyse the satisfaction towards specific Digital payment system facilities. The sample size for the study was 111 respondents. The statistical tools used for the analysis of data were the chi-square test.

Keywords

Perception, Digital Payment, Cashless Economy, Payment System

1. Introduction

In a growing global economic environment, many world countries are successfully implementing digital payment methods. In India, where people use a lot of cash in daily life which is 95 percent cash 85 percent of the transaction are not in electronic forms. At present, India has begun to show its pace of cashless transactions among the people and all the sectors of the economy, the Digital India program is a flagship program of the Indian government with a vision to change India into a digitally empowered societies and knowledge economy. “Faceless, Paperless, Cashless” is one of the claimed roles of Digital India. Digital India becomes a new program by the Indian government, which also promotes a cashless economy. In growing information technology is great to help and catalyst to the people to make a digital transaction. The increasing use of the internet and smartphone, app, mobile banking, internet banking services, credit card, debit card, and electronic exchange are

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simplified and promote consumer banking and settlement. The Indian government has to take several steps to promote, utilize and reach the digital transaction among people for better use. There is a lot of awareness and concession for promoting digital transactions.

2. Statement of the Problem

As a continuation of the demonetization process, the digital transaction activities are implemented impact the significant change in the behaviour of a consumer. In India most of the consumers are heavily dependent only on the cash economy, now the consumer has to switch from the cash to digital payment method. Most of the consumers have been using more cash for the purchase of products and services except a few. Currently, the government announced that all restrictions for the traditional cash transaction and offer for electronic transfer push the consumer to adopt and implement digital payment for their needs. Presently, the "Digital India" initiative of the government has given a tremendous boost to the usage of digital payment systems throughout the country. Coimbatore is a dynamic city with impressive demographics and the city is going digital and is on the path to embrace technology in all its spheres. People still rely on the idea of money being 'physically' realizable. For some psychological reason, 'paper' money is revered more than 'plastic' money or 'digital' money. There would be still some sort of digital awareness required to understand the working of a society with no cash. So, this study has made an attempt to analyse the usage of digital payment mode among the people in Coimbatore.

3. Objectives of the Study

• To create an awareness about digital payment mode in people.

• To study the Socioeconomic and demographic profile of the customers.

• To evaluate the satisfaction level towards various digital payment system services.

4. Research Methodology

A research methodology is a way to systematically solve the research problem. It may be understood as a science of study how research is done successfully. Primary data has collected by distributing a questionnaire to the respondents of Coimbatore city.While secondary data are those which have been collected by others and which have already been passed through the statistical process. Here, the primary source of data is to be collected through questionnaires.

4.1 Tools Used for Data Collection

- Percentage analysis
- Chi square test

4.2 Limitations of the Study

Every Research is carried out under some limit and this research is not an exemption. Limitation of study is summarized as follows,

• A sample size of only 111 respondents was taken from the large population.

• The inference applies only to the respondents of Coimbatore city.

4.3 Scope of Study

- A Study helps in knowing how the digital payment method is used by the customers.
- The study helps in identifying the lacuna in implementing an e-Banking Perspective and to suggest various measures in making 100% technology-based banks. In this Global environment, the customer is more knowledgeable, their expectations are too high and they need more convenience in any services they avail.
- The major services offered by the public sector banks are taken into consideration in order to study the customer relationship practices offered by the public sector banks. As such, there is a scope to examine whether the services provided by the Banks cater to the needs of various classes of customers to the needs of various classes of customers.

5. Review of Literature

1. Bansi Patel, Urvi Amin, (2012), in their article "plastic money: Roadmap towards Cash Less Society" the world glance as per technology change suitable changes should be adopted by the economy. And with-it life becomes painless and development would take better place. Relating to Indian scenario how the plastic money took place in the banking world would be focus by the analysis over here. And along with the plastic money it becomes possible that control the money laundry and effective utilization of financial system would become possible which would also useful for tax legislation.

2. Ashish Das, and Rakhi Agarwal, (2010) in their article – "A Roadmap" cash as a mode of payment is an expensive proposition for the government. The country needs to move away from cash based towards a cashless (electronic) payment system. This will help decrease currency management cost, track transaction, check tax avoidance/fraud etc., enhance financial inclusion and integrate the parallel economy with main stream.

3. Bank net India., (2008)., in their report the finding of the "bank customer survey on payment system" Interestingly, many customers have been unable to use internet banking due to the non-availability of site or connectivity problem. As far as mobile banking is concerned, its popularity is limited mainly due to the charge for sending SMSs are not justified.

4. Jain, P.M (2006) in the article "E-payment and e-banking" option that e-payment will be able to check black money. Taking fullest advantage of technology, fast payment and remittance will ensure optimal use of available funds for banks, financial institutions, business house and common citizen of India. He also pointed out the want for e-payments and modes of e-payments and communication networks.

6. Overview of Topic

Digital payment system refers to the term describing the system in which the movement of physical money i.e., paper currency and coins are replaced with digital means of payment, which include plastic money, digital devices, and over the net means the non-existence of physical money but its circulation is minimal. The "digital payment" is conduct over the internet and mobile channels and hence any payment that is sent online or through mobile computing and internet-enabled devices can be called such. Achieving this status does not involve an immediate removal of currency but steadily and gradually expelling the cash from the society through the proper steps. Electronic mode involving payments done through digital devices like smartphones, laptops, computers, notepads, etc using the internet, e-wallet, Pay tm or Google pay, etc.

7. Data Analysis and Interpretation

Table 1. Showing Demographic Factors

Factors	*No. of. Consumer*	*Percentage*
GENDER		
Male	60	54.1
Female	51	45.9
AGE		
Below 18	19	17.1
18 – 25	69	62.2
26 – 35	14	12.6
Above 35	09	8.1
EDUCATION QUALIFICATION		

SSLC	09	8.1
Higher secondary	12	10.8
UG	72	64.9
PG	18	16.2
PLACE OF LIVING		
Rural	61	55
Urban	50	45
OCCUPATION		
Business	12	10.9
Profession	26	23.6
Student	65	59.1
Others	06	05.5
OCCUPATIONAL PERSONAL INCOME		
Below Rs.1,50,000	74	70.5
Rs.1,50,000-3,00,000	17	16.2
Rs.3,00,000-4,50,000	08	7.6
Rs.4,50,000-6,00,000	06	5.7
FREQUENCY OF USING CASH		
Everyday	61	55
1-2 times a week	18	16.2
3-6 times a week	22	19.8
Once a fortnight	06	5.4
Once every few month	04	3.6
Total	**111**	**100**

Source: Primary Data

From the above table 1, it is analyzed that (51.1%) of the respondents are male, the majority (62.2%) of the respondents belongs to the age group of fewer than18- 25 years, (64.9%) of the respondents are completed there UG,(55%) of the respondents are from Rural,(59.1%) occupation of the respondents are from the students, (70.5%) of the respondents are belong to the annual income below Rs.1,50,000and(55%) of the respondents frequency of using cash every day.

Table 2. Showing Socio-Economic Factors

VARIABLES	***NO. OF RESPONDENTS***	***PERCENTAGE***
ADOPTION TOWARDS DIGITAL PAYMENT SYSTEM		
Convenience	45	40.5
Discount or cash back rewards	26	23.4
Easy tracking of spends	29	26.1
Shortage of currency	11	9.9
RESPONDENT BIGGEST CONCERN AROUND DIGITAL PAYMENT		
Lack of securities	36	32.4
Poor internet connectivity	33	29.7
Merchant acceptance	25	22.5
Cost	11	9.9
Lack of tech knowhow	06	5.4
FOR HIGH VALUE TRANSACTION WHAT IS YOUR PREFERRED MODE OF PAY-		

MENT		
Net banking	42	37.8
Credit/debit cards	26	23.4
Cash	33	29.7
Mobile app	10	09
WHICH PAYMENT APP YOU PREFERRED FOR MONEY TRANSACTION		
Pay tm	08	7.2
Google pay	53	47.7
Phonepe	15	13.5
All the above	35	31.5
INSTRUMENT USED FOR SAFELY SHARING WHEN DOING CASHLESS TRANSAC-TION		
Aadhaar cards	37	33.3
PAN	13	11.7
Credit/debit cards	33	29.7
All the factors	28	25.2
USING E-WALLET FOR FINACIAL TRANSACTIONS		
Yes	86	77.5
No	25	22.5
PREFERRED TOWARDS E-WALLET OVER MODES OF PAYMENT		
Time saving	47	42.3
Easy to use	54	48.6
Security	10	9
Total	**111**	**100**

Source: Primary Data

In the above table 2, it is observed that most (40.5%) most the respondent's adoption towards digital payment are convenience. (32.4%) of the respondents biggest concern around digital payment of lack of securities. (37.8%) of respondents prefer net banking. (31.5%) of the respondents are app preferred for money transaction all d above.(33.3%) of the respondents are doing cashless transaction Aadhar card. (77.5%) of the respondents are using e-wallet for financial transaction says yes and (48.6%) preferred towards E-wallet over models of payment are easy to use.

Table 3. Chi-Square Test - Comparison between Frequencies of Using Cash

	Value	***Df***	***Asymp. Sig. (2-sided)***
Pearson Chi-Square	10.885 a	16	.817
Likelihood Ratio	10.788	16	.822
N of Valid Cases	111		

Source: Primary Data

Since the calculated significance value is higher than the table value the H0 is being rejected and the alternate hypothesis is accepted. Therefore, there is a significant difference between gender and the type of retail store preferred by the respondents.

Table 4. Chi-Square Test - Comparison between Occupation and Respondents Biggest Concern around Digital Payment

	Value	*Df*	*Asymp. Sig. (2-sided)*
Pearson Chi-Square	14.192a	20	.821
Likelihood Ratio	15.519	20	.746
N of Valid Cases	111		

Source: Primary Data

Since the calculated significance value is lesser than the table value, H0 is accepted and the alternative hypothesis is rejected. Therefore, there is no significant relationship between income and the amount spend on shopping

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Table 5. Chi-Square Test Comparison between Age and Level of Satisfaction towards Digital Payment System in Recharge Purpose

	Value	*Df*	*Asymp. Sig. (2-sided)*
Pearson Chi-Square	12.057a	9	.210
Likelihood Ratio	11.887	9	.220
N of Valid Cases	111		

Source: Primary Data

Since the calculated significance value is higher than the table value, H0 is rejected and the alternative hypothesis is accepted. Therefore, there is a significant relationship between age and frequency of shopping.

8. Findings of the Study

- Most of the respondents are from the gender female
- Maximum of the respondents are 18 - 25 years of age.
- Most of the respondents have complete their UG.
- Maximum of the respondents are residing in rural area.
- Most of the respondents doing student.
- Maximum of the respondents are earning below Rs.1, 50,001 per annum.
- Most of the respondent's using cash every day.
- Maximum of the respondents using cashless payment system for convenience.
- Most of the respondents said that lack of securities of digital payment is a bigger concern and problem towards using it.
- Most of the respondents said that net banking for high-value transaction.
- Most of the respondents are preferring google pay for money transaction.
- Most of the respondents use Aadhar cards for safely sharing when doing cashless transaction.

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- Most of the respondents said yes for using E-wallet for financial transaction.
- Most of the respondents preferred towards E- wallet over mode of payment because easy to use.

9. Suggestions of the Study

- It is essential that market analysis, market segmentation and marketing mix are framed keeping in view customers satisfaction. The modern banker cannot afford to wait for business as his predecessors used to do.
- As the present study is related to nationalized banks this study tries to explore as to whether application of modern marketing techniques can be helpful in facing this challenge. In a customer-oriented industry like banking, the marketing concept has its own importance.
- The recent changes in technology and government regulations have dramatically changed the competitive climate in the Indian financial market. Customers' requirements and needs are also changing. Many new products have been introduced by the subsidiaries of these banks, which have competitive advantages over the products of other banks.

10. Conclusion

The bankers make everyone aware that changes are needed, describing the reasons, alternatives and likely effects. They also have to examine the current practices and operations, using benchmarking and other comparisons to identify the areas that are needed improvement. They have to remain committed to the new methods, updating them as necessary. The banks offer a facility for customers to set up text or email notifications to alert them to certain activities on their account and the level of satisfaction can be monitored with an effective measure.

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